

Week ending: 26th February 2021

Weekly Fixed Income Note

Key Highlight:

A total of KES **24.0 Billion** worth of T-bills were on offer during the week. The T-bills were oversubscribed with the **91-day, 182-day & 364-day** recording **157.04%, 102.28% & 151.64%** respectively. The CBK accepted KES **4.81B**, **7.34B** and **14.52B** respectively of the bids for the **91-day, 182-day** and **364-day** T-bills on offer.

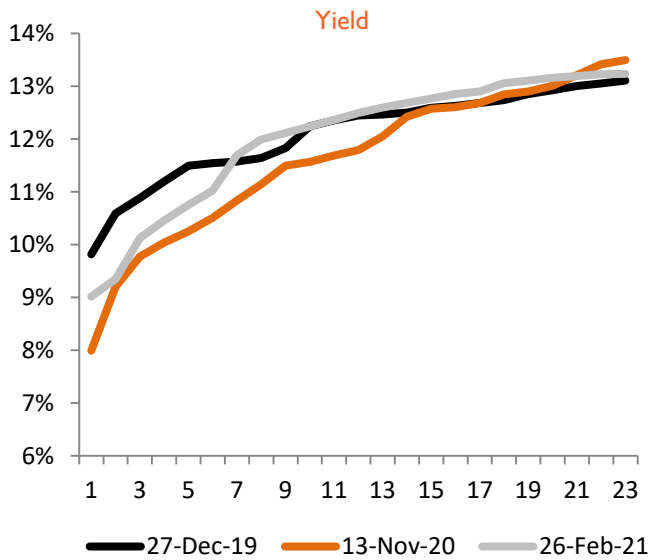
Central Bank of Kenya opened a tap sale on Fixed bonds **FXD1/2013/15** and **FXD1/2012/20** from **09/02/2021** to **17/02/2021** in a bid to raise **18Bn.** The bonds were undersubscribed with the CBK receiving **KES 11.2B** worth of bids and accepting **KES 10.9B.** The bonds likely underperformed due to an oversupply of tenors with the same maturity profile due to CBK's trend of reopening such bonds.

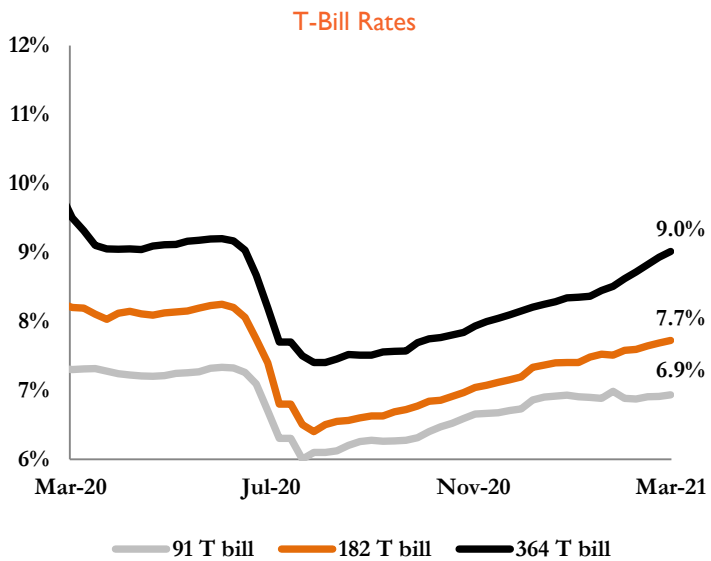
Key Indicators

	Current	Previous	% Change
91- Day	6.93%	6.91%	0.02%
182-Day	7.72%	7.68%	0.04%
364-Day	9.01%	8.93%	0.08%
Interbank Rate	4.23%	4.03%	0.20%

Macroeconomic data	Current	Previous
GDP (3Q20 vs. 3Q19)	-1.1%	5.8%
Inflation (February)	5.78%	5.69%
Private sector credit growth (December)	8.4%	7.7%
Money Supply (October)	11.50%	10.70%

Interest Rates





MACROECONOMIC NEWS

Currency

The Kenya shilling lost ground against the USD this past week depreciating by **0.23%** to stand at **109.80**.The CBK's usable forex reserves currently stands at **USD 7,605 million (4.67** months of import cover**)** as at February 25th, similar to the previous session.

Inflation

In February, Headline inflation stood at **5.78%** from **5.69%** in January. The CPI increased by **0.70%** from **112.58** in January to **113.37** in February. This increase occurred on the back of a rise in prices of food which outweighed the decreases. Meanwhile, the food and alcoholic beverages index increased by **1.01%** due to the increase in prices of select food items. Headline inflation is likely to increase with the rise in food prices as food products carry a significant weighting in the inflation basket.

GDP growth

Growth receded by **-1.1%** in 3Q20 from **5.8%** in the corresponding period of 2019. The economic performance remained depressed due to the crisis caused by the pandemic. However, an improvement was observed compared to 2Q20. The quarterly improvement was majorly supported by growth in the agricultural sector that recorded **6.3%** growth compared to **5.0%** in 2019 and growth in construction by **16.2%** versus **6.6%** in 2019. Manufacturing, Electricity and Transportation sectors each recorded **3.2%, 4.7%** and **9.9%** growth respectively.

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